



VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

Markets remained cautious this week as investors monitored two major risks: the upcoming Bank of Canada rate decision on October 29 and the looming U.S. government shutdown. Despite political gridlock in Washington, the S&P 500 (+1.25%) posted considerable gains. In Canada, the TSX Composite (+ 1.74%) also increased during this week, thanks to rising oil prices but pressured by weak domestic investment.



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Article 1: TD's US Investment-Banking Push Risks Leaving Canada Behind

Author, Source & Date Published: Christine Dobby & Chunzi Xu, Bloomberg, September 29, 2025

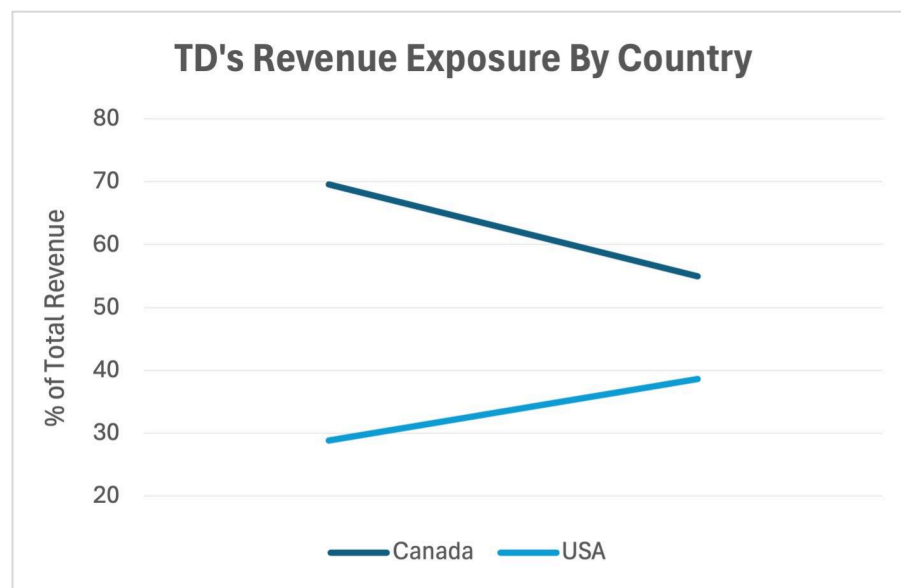
Link: [Bloomberg Article](#) &

Summary:

TD Bank's leadership is pushing for a bigger American market expansion, making its Canadian operations a secondary source of revenue.

Key Takeaways:

- TD Bank's merger with Cowen, an American multinational investment bank, signals a strategic shift towards the U.S market. Influential Cowen leaders who joined TD, such as Dan Charney and Larry Wieseneck, are showing a strong enthusiasm to make TD a world-class investment bank.
- This shift in priorities is also reflected in employee compensation. Canadian employees have received minimal increases in wages and bonuses, while their American counterparts are enjoying large, performance-driven incentives. This is partly explained by a stagnant revenue-per-worker ratio in Canada. Canadian worker productivity has not improved in recent years, and this is reflected in their compensation.



Source: FactSet Workstation, TD Geographic Revenue, 2025.



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- The graph shows that TD's U.S. revenue share is rapidly catching up to Canada's. While Canada still generates over half of TD's total revenue, the U.S. is quickly gaining ground. TD is doubling down on its American capital markets presence, largely due to the influence of former Cowen executives. But a deeper reason is also at play. In 2023, TD was penalized with an **asset cap**¹ due to money laundering allegations.
- This penalty restricts the growth of TD's U.S. balance sheet, motivating the bank to increase revenue without growing assets. Capital markets activities (like M&A advisory, equity research, sales & trading and **underwriting**²) do not require large balance sheets, since they generate income from fees rather than interest.
- The market has rewarded this strategic shift. **TD's stock (TSE: TD) is up 46.58% year-to-date** as of Wednesday, thanks to cost-cutting, increased fee-based revenue, and a stronger emphasis on transparency.

Educational Angle:

At first glance, TD's acquisition of Cowen might seem like a standard expansion move. But there's more behind it.

After being hit with a US\$3 billion regulatory fine in 2024, TD was limited in how much it could grow through traditional lending or deposits. This led the bank to focus more heavily on capital markets, where Cowen already had strong capabilities, experienced leadership, and deep U.S. market access.

In general, companies pursue mergers for several reasons:

- To grow faster without having to build from scratch
- To access new clients or talent (like Cowen's leadership and employees)
- To find synergies (cut costs by combining business structures)
- Or, like TD, to adapt to regulatory constraints

¹ Asset Cap: A limit placed on the total assets a bank can hold.

² Underwriting: The process where a bank helps companies raise money by issuing stocks or bonds, and often guarantees to buy them if investors don't.



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Article 2: Canada's CEOs Hail Carney's Investment Tilt, Warn on Rising Deficits

Author, Source & Date Published: Erik Hertzberg, September 30, 2025.

Link: [Bloomberg Article](#) & [CPP Annual Report](#)

Summary:

The Business Council of Canada supports Carney's administration; however it demands strong fiscal spending.

Key Takeaways:

- The Business Council of Canada, a nonprofit organization representing over 150 CEOs from leading Canadian companies like RBC, Scotiabank, Shopify, and Air Canada, plays a major role in shaping policy. It holds significant influence in Ottawa by making recommendations that reflect the private sector's expectations.
- The Council recently urged the government to boost fiscal stimulus in order to revitalize the economy, citing a decline in investment across the country. However, business leaders emphasized the need for the government to offset this stimulus by reducing spending elsewhere. Canada is currently running a \$70 billion deficit, and long-term planning is needed to reduce its **debt-to-GDP ratio**³. While debt is not inherently bad, it must be managed under realistic repayment conditions.
- Finance Minister François-Philippe Champagne is scheduled to deliver the federal budget plan on November 4, shortly after the Bank of Canada's monetary policy decision on October 29.

Educational Angle:

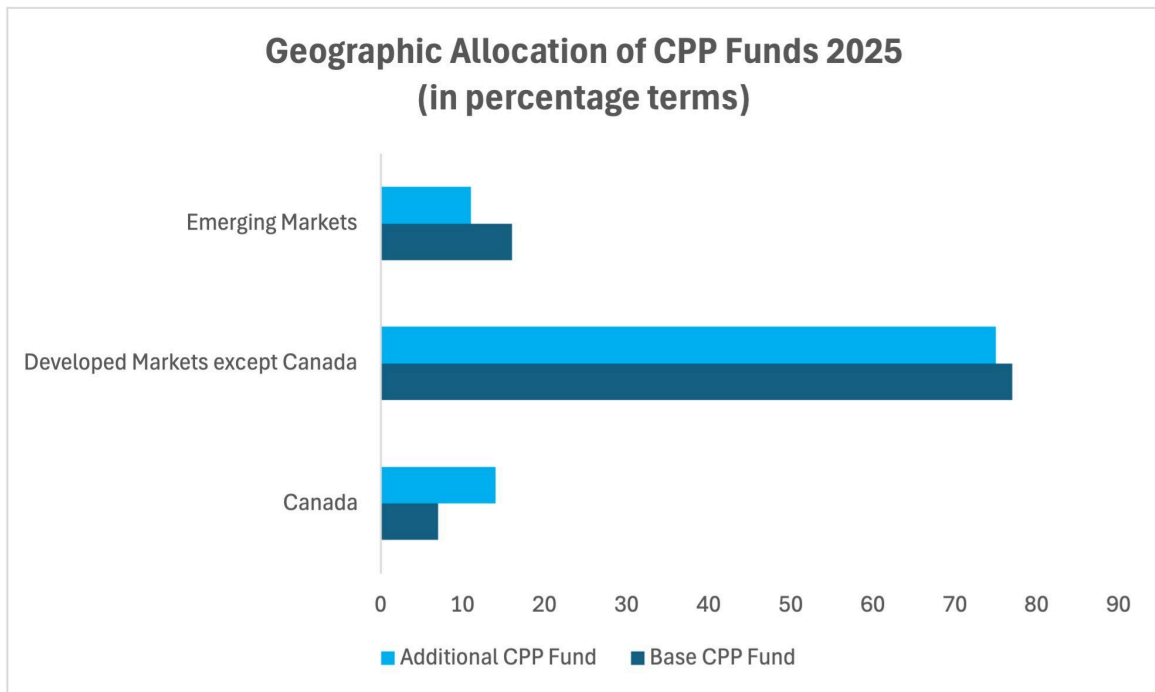
Students should understand that growth is particularly impacted by the present level of investment. **In Canada all legal workers that earn more than \$3500 a month participate in the Canadian Pension Plan.** The system allocates a small percentage of your salary for this fund, which invests this money for your retirement. However, not every Canadian is aware of how this money is being used to boost economic growth.

³ Debt-to-GDP Ratio: It is a key economic ratio that indicates how capable a country is of repaying its debt. It is defined by debt divided by GDP. A smaller debt-to-GDP shows stronger financial health.



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The CPP retirement plan is divided into two funds with different portfolio allocations: the base plan and the additional plan. Canadian workers invest money into these plans as a mandatory measure.



[Canada Pension Plan Investment Board](#). (2025). Annual Report F2025

Canadian capital is boosting economic growth in other regions of the world as they look for better return on their investment. However, the Canadian economy is suffering from this lack of business investment in the last quarters.